

The importance of dividend payout will be clear, from Figure 3.6, which depicts the price performance of two groups of companies between 31 March 2009 and 29 July 2011.

In the first group, the stock prices of companies that had increased the dividend payment appreciated by 286% on an average. The share prices in the second group, which included companies with falling or stagnant dividends, had risen by 129% on an average. During the same period, the Sensex, which also included companies that had not paid any dividends, rose by 87.44%. All these returns are in absolute terms.

Trendlines of high dividend payers and low dividend payers are monthly average prices across the various companies in their respective groups. Both the groups and the Sensex are normalised to a base of 100.

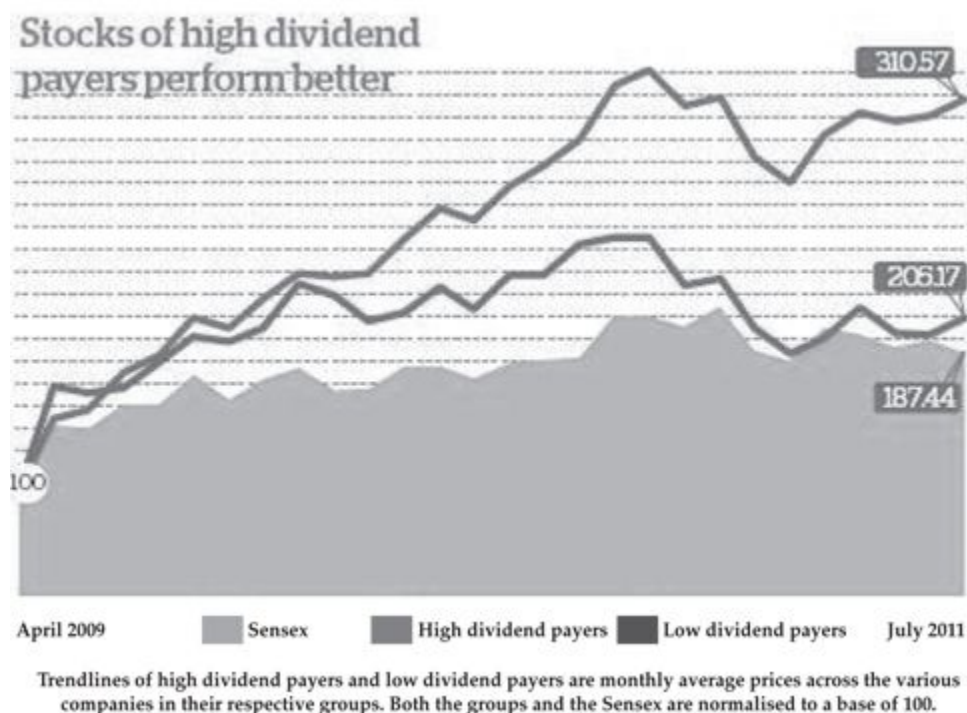


Fig 3.6: *Analysis of high and low dividend stocks*

The analysis in Fig 3.6 underlines the market's perception of dividend payout. Both groups contained dividend paying stocks, but the first group generated more than twice the returns delivered by the second group. Also,